

Negotiations

Review Session

July 08, 2025

Review Session Outline

- Review key concepts from class that apply to the Prep Sheet
- Tips on the Prep Sheet

The Concepts

Interests and Positions

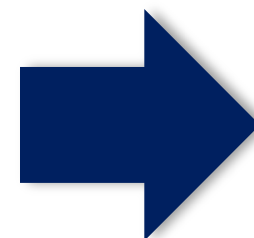
What are the general and specific factors driving the negotiation?

Your

Interests

The **general, overarching goals** that you want to accomplish

Mapletech: Increase profits



Positions

The **specific outcomes** that you want from this negotiation

Mapletech:
Agree to a price greater than \$10

Positions are negotiable; interests are not.

Interests and Positions

What are the general and specific factors driving the negotiation?

Your

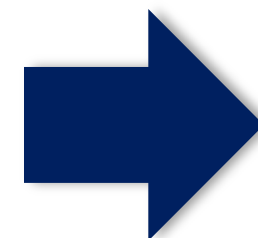
Interests

The **general goals** that you want to accomplish

Your Counterparty's

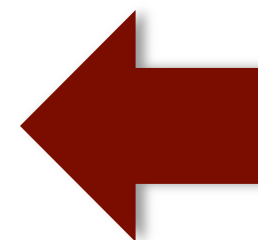
Interests

The underlying reasons for their demands



Positions

The **specific outcomes** that you want from this negotiation



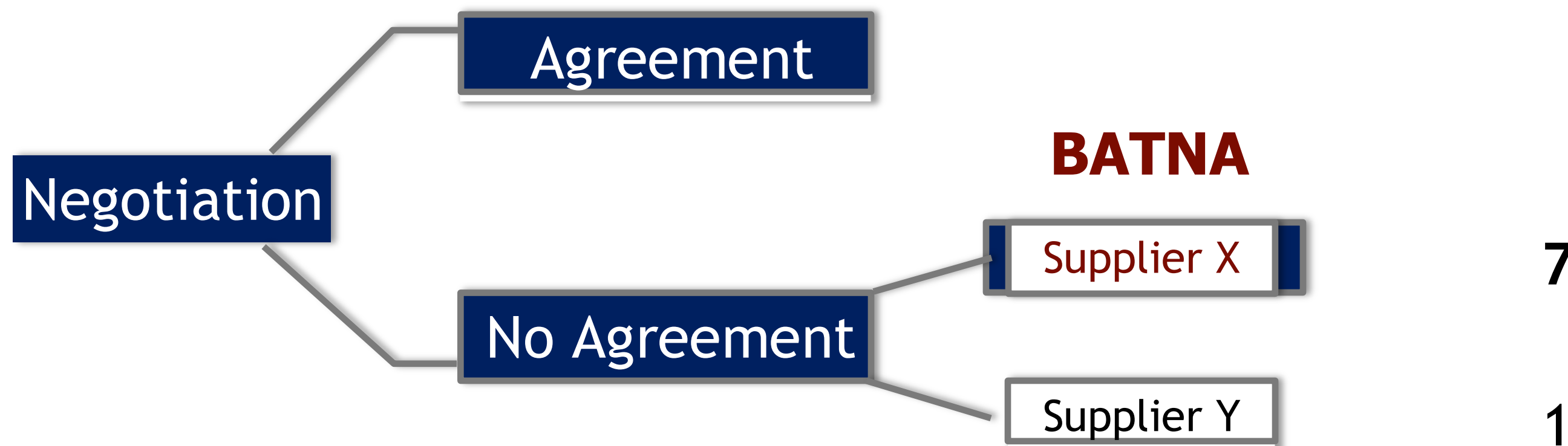
Positions

The demands of your counterparty

The Best Alternative to a Negotiated Agreement (BATNA)

The best **action** you could take if the negotiation results in a “**no-deal**” situation

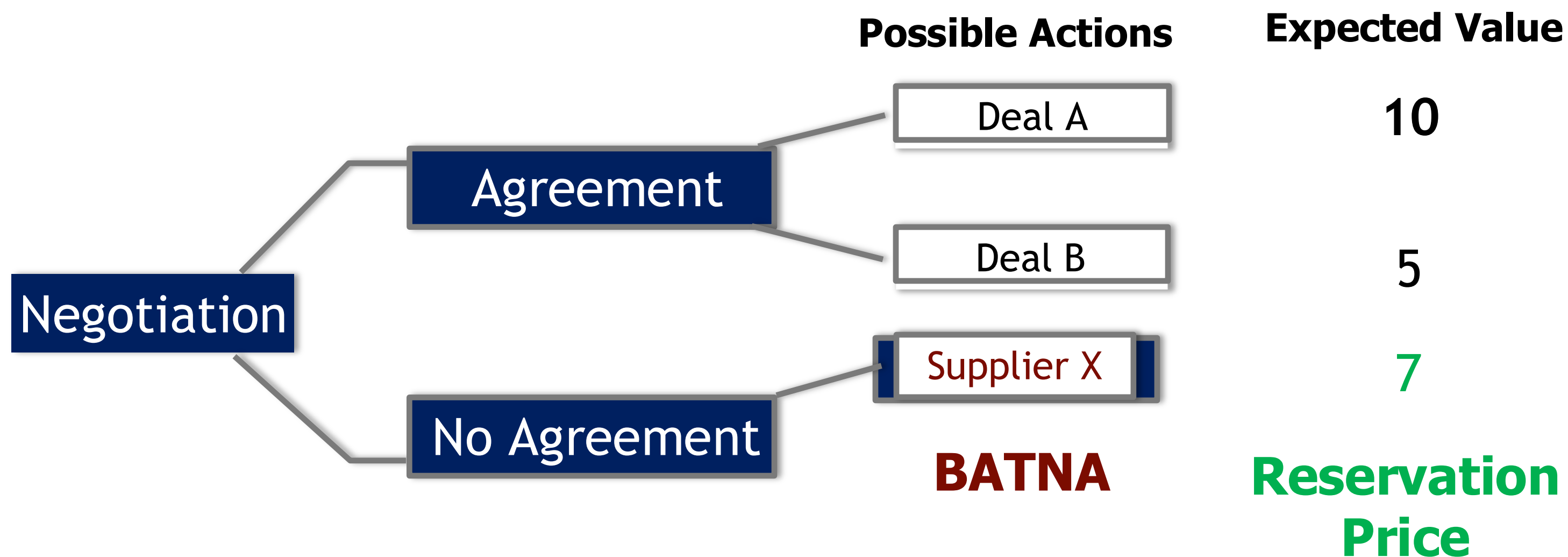
Possible Actions Expected Value



The BATNA is an **action**, not a number

The Reservation Price

The **"worst" deal** you would be willing to accept **before walking away**



Targets/Aspirations

What is the outcome that you are aiming for?

Reservation Price

What you are willing to accept before walking away from the negotiation

Targets & Aspirations

The **best possible outcome** that you want from your negotiation

- Thinking carefully about your target will help you develop a strategy
- Consider it self-anchoring

The Prep Sheet

The point of the Prep Sheet

1. Provides you with a template to **systematize** your thinking, alleviating biases and making you aware of **what you don't know**
2. Give you a tool for **applying class concepts** to in-class negotiations
3. Shows you the role of preparation in effective negotiations

NEGOTIATION BERND WITTENBRINK		
Preparation Worksheet		
Your Name: _____		Negotiation Exercise: _____
Your Role: _____		
	SELF	OTHER
PRIORITIZED INTERESTS & POSITIONS	#____ #____ #____	#____ #____ #____
BATNA		
RESERVATION PRICE		
TARGET/ ASPIRATION		
WHAT IS YOUR OPENING MOVE? INITIAL STRATEGY AND CONTINGENCY PLANS:		

The point of the Prep Sheet

The prep sheets give you a framework to prepare effectively for negotiation

In Class

- Allow you to see how class concepts apply to a negotiation
- Gives you practice in leveraging concepts to improve negotiation outcomes
- Can show you the impact of thinking through key issues in depth prior to negotiating

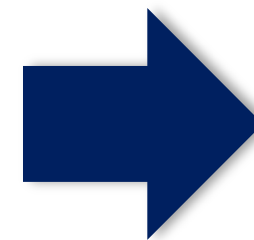
In Life

- Give you a **framework** for thinking through key issues prior to a negotiation
- Helps you think about **information to gather** prior to negotiation
- **Increase your confidence** during a negotiation
- Allows you to develop more **effective and flexible strategies** for negotiations

Prioritized Interests and Positions

Interests

The more **general goals** that the positions serve



Positions

The **specific outcomes** that you want from this negotiation

	SELF
PRIORITIZED INTERESTS & POSITIONS	#__
	#__
	#__
	#__

- Make sure to **separate** interests and positions (and clearly label them)
- Whenever possible, **link** your Interests and Positions
- You could have **multiple** interests and positions
- For in-class negotiations, stick with info and rules presented in the case

BATNA

BATNA

The best **action** you could take if the negotiation results in a “**no-deal**” situation

- For in-class negotiations, stick with info and rules presented in the case
- Be concrete!

Reservation Price & Target

Reservation Price

The **"worst" deal** you would be willing to accept **before walking away**

Target

The **best possible outcome** that you want from your negotiation

- You should have a **concrete** RP/target for **every issue** you're negotiating for
- **Justify** your RP/target - don't just write down numbers
- If you don't know your counterparty's RP/target, make an educated guess and state your rationale

The “Other” section - fill it out!

You cannot effectively think through a good strategy without thinking about what the other party in your negotiation cares about.

Provides you with insights like:

- Your counterparty’s opening move
- Your counterparty’s response to your opening move
- What deal your counterparty is likely to accept
- And much much more!

- If you don’t know something, try to make an **informed guess** and state your **rationale**
- Outside **research** can help with filling out this side of the sheet

Strategy

The part where you put together what you've learned in the other sections of the prep sheet

Key Questions to Answer:

- How do you want to open the negotiation?
- What are some contingencies that you expect?
- How do you intend to react to these contingencies?

- Be as **concrete** as possible
- Consider lots of **contingencies**
- Consider your **response** to multiple possible actions that your counterparty might take in response to your moves

The more you think about contingencies, the better you're likely to handle contingencies that you didn't consider.

Prep Sheet

Instructions on how to use this Worksheet

This planning document is essential for your negotiation preparations. It is intended to help you in thinking about your upcoming negotiation by organizing your thoughts, prompting you to identify your negotiation interests, and the negotiation's basic challenges and opportunities.

Negotiations by nature involve at least 2 parties. Else you could satisfy your interests without having to negotiate. Therefore, an essential part of negotiation preparation involves anticipating the demands and actions of your counterparty (or counterparties in multi-party negotiations). The worksheet asks you to specify not only your own interests and circumstances but also those of your counterparties. In some cases, you may have detailed information about your counterparties. In other cases, you may have only partial, or very limited information. Always try to anticipate as best as you can the demands and actions of your counterparties.

Next, the worksheet asks you to outline how you intend to approach the negotiation. For example, you may want to consider questions such as these: What will be your overall strategy? What your opening move? What possible responses do you anticipate from your counterparties? What will you do, if the negotiation stalls? What steps can you take for your counterparties to appreciate your own interests?

Starting with Day 2, you submit your completed (typed) worksheet, prior to the start of each class via Canvas.

Have a copy of your worksheet ready for your own use during your negotiation.

The document is meant to be a template for your planning. Modify it as needed to best reflect the demands of your negotiation. For example, if you have multiple counterparties, use multiple columns to capture information about each counterparty. If a box is too small, make it bigger. 😊

Appendices

- Appendices are a good place to put supplementary preparatory materials (models, spreadsheets, or other supplementary information) that don't fit well into the predefined areas of the prep sheet

Questions?